without sacrificing their 'public' character, they will be able to raise money much more easily from the markets. Indeed, the better performers will be able to raise more, unlike the current situation where the not-so-good performers have a greater call on the public purse. Competition will improve efficiency. The second grand bargain will also become irrelevant.

CONCLUSION

The banking sector is on the cusp of revolutionary change. In the next few years, I hope we will see a much more varied set of banking institutions using information and technology to their fullest, a healthy public sector banking system, distant from government influence but not from the public purpose, and deep and liquid financial markets that will not only compete with, but also support, the banks. Such a vision is not just a possibility, it is a necessity if we are to finance the enormous needs of the real economy. As India resumes its path to strong and sustainable growth, it is the RBI's firm conviction that the Indian banking sector will be a supportive partner every inch of the way.